Date	₹
March 1	3,000
June 1	3,000
September 1	3,000
December 1	3,000

Calculate the amount of interest on drawings.

Solution

Interest on drawings = Amount of drawings × Rate of interest × Period of interest

Withdrawal on March 1 $= ₹\ 3{,}000 \times \frac{12}{100} \times \frac{10}{12}$ = ₹ 300

Withdrawal on June 1 $= ₹\ 3{,}000 \times \frac{12}{100} \times \frac{7}{12}$ = ₹ 210

Withdrawal on September 1 $= ₹\ 3{,}000 \times \frac{12}{100} \times \frac{4}{12}$ = ₹ 120

Withdrawal on December 1 $= ₹\ 3{,}000 \times \frac{12}{100} \times \frac{1}{12}$ = ₹ 30

Total interest on drawings = ₹ 660

Illustration 14

Rajan is a partner who withdrew ₹ 30,000 during the year 2018. Interest on drawings is charged at 10% per annum. Calculate interest on drawings on 31st December, 2018.

Solution

Interest on Drawings

$$= 30{,}000 \times \frac{10}{100} \times \frac{6}{12} = ₹\ 1{,}500$$

Note: Since, date of drawings is not given, interest is calculated for an average period of six months.

(ii) Product method

Under product method, interest is calculated on the total of the products, that is, the product of amount of drawings and the period for which the amount remained withdrawn. If the product is calculated in terms of months, then interest is calculated on the total of products at the rate per month. If the product is calculated in terms of days, then interest is calculated on the total of products at the rate per day. This method can be used in all situations as an alternative to direct method.



Product method is based on the principle that interest on the amount for a number of days/months is the same as interest for one day/month on the sum of the products of amount withdrawn and the period of interest.

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